PURPOSE CAPITAL
Guiding Capital with Purpose

PROCEDURE · OPERATIONS

Accounting and Financial Procedures Manual

Version **0.9** DRAFT

Owner	Chief Executive Officer
Next review	12 months after adoption
Confidentiality	Internal

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Purpose Capital S.A.
Rue Joseph Essono Balla, Elig-Essono, Yaoundé (Cameroun)

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REVISION HISTORY

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REFERENCE TEXTS

OHADA Uniform Act on Accounting Law and Financial Reporting (26 January 2017) Overview · vie-publique.sn	Accrual accounting and the OHADA Accounting System (revised SYSCOHADA); mandatory books (journal, general ledger, trial balance); annual inventory; annual financial statements drawn up within four months of the year end; retention of books and supporting documents for ten years (Art. 24)
OHADA Uniform Act on Commercial Companies and Economic Interest Groups (AUSCGIE) Official page · ohada.org	Approval of the accounts for submission by the Board of Directors; approval by the ordinary general meeting within six months of the year end; duties and information of the statutory auditors; related-party agreements (Art. 438 et seq.)
COSUMAF General Regulation of 23 May 2023 Official text · cosumaf.org	Minimum capital and financial soundness of brokerage firms; internal control; retention of documents for ten years (Art. 105); combination of functions justified by the size of the firm (Art. 112)
Regulation No. 01/22/CEMAC/UMAC/CM/COSUMAF of 21 July 2022 Official page · cosumaf.org	Segregation of client assets from intermediaries' own assets; financial information due to COSUMAF
Cameroon Labour Code (Law No. 92/007 of 14 August 1992) Official text · ilo.org	Payment of wages, payslip and employers' register

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IOSCO — Principles on Outsourcing (October 2021) Official text · iosco.org	International good practice: control and oversight of a function entrusted to a service provider (bookkeeping)
IOSCO — Objectives and Principles of Securities Regulation Official text · iosco.org	International good practice: capital requirements and reliable accounting records for market intermediaries
COSO — Internal Control — Integrated Framework (2013)	International good practice: segregation of duties, authorisations, reconciliations and fraud prevention

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Title I — General provisions

Article 1 — Purpose

This manual sets out how Purpose Capital S.A. (the "Company") keeps its accounts and manages its money: who records, who authorises, who pays, who checks, by when and with what evidence.

It has four aims: faithful accounts; money protected against error and fraud; tax, social security and regulatory obligations met on time; own funds known every month and kept above the minimum on which the licence depends.

Article 2 — Scope

The manual applies to all financial transactions of the Company on its own account: revenue, expenditure, payroll, cash and treasury, fixed assets, taxes, closings and financial statements.

It applies to anyone involved in them, whether employee or service provider, including the chartered accountant.

Client securities and cash are not assets of the Company. Their segregation and reconciliation are governed by the Procedure for the Segregation and Reconciliation of Client Assets; this manual only states how they appear in the accounts (Article 7).

Article 3 — Definitions

- **Accounting**: the person who keeps the Company's accounts, either an accountant employed by the Company or a chartered accountant registered with the National Order of Chartered Accountants of Cameroon (ONECCA) acting under an engagement letter.
- **Authorising officer**: the person who authorises an expense or a payment within the limits of their authority.
- **Signatory**: the person authorised by the bank to validate a transfer or sign a cheque.
- **Supporting document**: the document that evidences a transaction: invoice, contract, contract note, bank statement, payslip, return.
- **Own funds**: the Company's equity calculated in accordance with Article 31.

Article 4 — Relationship with other documents

Subject	Reference document
Authority, spending limits and bank signatures	Organisation and Delegation of Authority Charter
Client assets, segregated settlement account	Procedure for the Segregation and Reconciliation of Client Assets
Own funds, liquidity and investment limits	Risk Management Policy
Returns sent to COSUMAF and other authorities	Regulatory Reporting Procedure
Use of a chartered accountant or payroll provider	Outsourcing Policy

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Subject	Reference document
Commissions invoiced to issuers and other firms	Contract templates Arrangement and Placement Mandate Agreement, Firm Underwriting and Standby Underwriting Agreement and the Placement Syndicate Agreement
Charges invoiced to clients	Securities Account Opening Agreement (Article 6 and Appendix “Schedule of charges”)
Remuneration of Staff Members and senior managers	Remuneration Policy
Retention of books and supporting documents	Archiving and Retention Procedure

In the event of any difference, the reference document prevails on its subject.

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Title II — Accounting framework

Article 5 — Framework

The Company keeps its accounts in accordance with the OHADA Uniform Act on Accounting Law and Financial Reporting and the revised OHADA Accounting System (SYSCOHADA), **full system**. In practice:

- **accrual accounting**: revenue is recorded when earned and an expense when incurred, whatever the payment date;
- **financial year** from 1 January to 31 December, accounts kept in CFA francs;
- **mandatory books**: journal, general ledger, trial balance and inventory book, kept in software compliant with SYSCOHADA;
- **annual financial statements**: balance sheet, income statement, cash flow statement and notes.

If COSUMAF requires brokerage firms to use a particular presentation or particular statements, these are prepared in addition, from the same accounts.

Article 6 — The Company's chart of accounts

Accounting maintains the Company's chart of accounts, derived from the SYSCOHADA chart. It includes at least separate sub-accounts for:

- each type of revenue: brokerage commissions, arrangement, placement, success, underwriting and listing commissions, custody fees, other;
- retrocessions paid to members of a placement syndicate;
- fees and contributions due to COSUMAF, BVMAC and the Central Securities Depository;
- each bank account, each cash investment and petty cash;
- client cash and the corresponding liability to clients (Article 7).

Any new account is signed off by the Chief Executive Officer.

Article 7 — Client cash and securities in the accounts

1. **Client securities** do not belong to the Company and do not appear on its balance sheet. They are tracked in the Guichet registers and with the account keepers (Procedure for the Segregation and Reconciliation of Client Assets).
2. **Client cash** held in the segregated settlement account is recorded in a cash account specific to that bank account and, as the counterpart, in a liability account "clients — cash holdings". These two accounts are never offset against the Company's accounts.
3. This cash is **excluded** from the calculation of the Company's own funds and own cash.
4. A commission owed by a client is recorded as revenue only once due, and is transferred to a Company account only in accordance with Article 7 of the Procedure for the Segregation and Reconciliation of Client Assets.
5. Each month, the book balance of the liability to clients is reconciled with the total of the balances in the client cash ledger (Article 27).

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Article 8 — Supporting documents and audit trail

- **No entry without a supporting document.** Each entry refers to a supporting document that is scanned and filed in the Company's document storage.
- Invoices issued are numbered in a continuous chronological sequence, with no gaps or duplicates.
- An error is corrected by a reversing entry, never by deletion. The software prevents any change to a closed period.
- Any manual entry on a cash, revenue or client liability account bears the name of its author and its justification.

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Title III — Organisation of the accounting function

Article 9 — Who does what

Function	Role
Board of Directors	Approves the budget; approves the annual accounts for submission; receives the quarterly financial report; authorises related-party agreements
Chairman of the Board of Directors	Approves the expense claims and personal expenses of the Chief Executive Officer; second signatory above the thresholds set by the Charter of Organisation and Delegation of Authority
Chief Executive Officer	Principal authorising officer; bank signatory; oversees Accounting; signs off closings; signs tax and social security returns
Head of Capital Markets, Head of Sales	Commit the expenses of their area within the limits of the Charter of Organisation and Delegation of Authority; certify that services have been received; provide the invoicing details for their transactions
Desk (operations)	Produces contract notes and the calculation of brokerage commissions; provides the monthly client asset reconciliation
Accounting	Records, invoices, prepares payments, payroll, returns, reconciliations, closings, financial statements and the own funds calculation; **has no bank signing authority**
RCCI	Checks compliance with the manual; checks the own funds calculation and prudential returns; takes part neither in the authorisation nor in the execution of payments
Statutory auditors	Certify the annual accounts; take no part in bookkeeping

Article 10 — Segregation of duties with a small team

No one carries out alone all four stages of a transaction: **record, authorise, pay, reconcile**. With few people:

1. Accounting records and prepares, but signs no payment.
2. The authorising officer authorises, but does not record.
3. Every payment goes through two people: an initiator and a validator, in accordance with Article 21.
4. The bank reconciliation is prepared by Accounting and reviewed by a person who did not post the entries.
5. For transactions concerning the Chief Executive Officer personally (remuneration, expense claims, agreements with a related company), the second level is the Chairman of the Board of Directors.
6. Where the absence of a person prevents segregation, the transaction waits for their return or goes through the deputy designated in the Charter of Organisation and Delegation of Authority; it is reported to the RCCI.

Article 11 — External chartered accountant

Where bookkeeping is entrusted to a chartered accountant:

- a written **engagement letter** sets out the work (bookkeeping, reconciliations, payroll, returns, closings, financial statements, DSF), deadlines, confidentiality, access to data and its return at the end of the engagement; it complies with the clauses of the Outsourcing Policy and the contract is entered in the outsourcing register;

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- the books and supporting documents remain the property of the Company, in software or storage to which it always has access;
- the chartered accountant has **no access** with write rights to the bank accounts or online payment platforms;
- the Chief Executive Officer **oversees** the work: they receive the monthly closing file, raise their questions in writing and sign off the closing (Appendix “Monthly closing”);
- each year, the Chief Executive Officer assesses the service in accordance with the Outsourcing Policy; the assessment is given to the RCCI.

Responsibility for the accounts remains with the Company and its senior managers, even where bookkeeping is entrusted to a third party.

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Title IV — Revenue cycle

Article 12 — Sources of revenue and recognition date

Revenue	Basis	Recognised as revenue
Brokerage commission and transaction fees	Charges given to the client (Securities Account Opening Agreement, Appendix “Schedule of charges”); automatic calculation on the contract note	On the order execution date
Custody and account-keeping fees, if any	Charges given to the client	Pro rata over the period covered
Arrangement commission	Mandate agreement (Article 12)	As the agreed milestones are reached (signature, COSUMAF approval (visa))
Placement commission	Arrangement and Placement Mandate Agreement, Article 12; Placement Syndicate Agreement, Article 15	On the settlement date, on the amounts subscribed and paid up
Success commission	Arrangement and Placement Mandate Agreement, Article 12	When the condition is met, on the settlement date
Underwriting commission	Firm underwriting agreement (Article 14)	According to the due dates set by the agreement
Listing commission	Arrangement and Placement Mandate Agreement, Article 12	On the admission date

An amount invoiced before the service is rendered is recorded as deferred income. Retrocessions due to members of a placement syndicate are recorded as an expense on the same date as the corresponding commission, without offsetting.

Article 13 — Invoicing

- **Brokerage clients**: commissions appear on each contract note. Each month, Accounting records the total produced by the Guichet and reconciles it with the commissions actually transferred from the segregated account to the Company's account.
- **Issuers and other firms**: the director in charge of the transaction gives Accounting, within **five business days** of the triggering event, the signed agreement and the calculation; Accounting issues the invoice, signed by the Chief Executive Officer.
- Each invoice bears the legal and tax particulars, including the unique identification number (NIU) of both parties, taxes and the due date.
- An invoice is never cancelled: it is corrected by a numbered credit note, signed off by the Chief Executive Officer.

Article 14 — Collection and follow-up of receivables

Accounting keeps the aged receivables balance and gives it to the Chief Executive Officer each month.

Days overdue	Action	Who
15 days	Written reminder	Accounting

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Days overdue	Action	Who
30 days	Reminder by the director in charge of the client	Director concerned
60 days	Formal notice; consideration of a payment arrangement	Chief Executive Officer
90 days	Provision for doubtful debt; decision on legal recovery	Accounting, on the decision of the Chief Executive Officer

A receivable is written off only on the written decision of the Chief Executive Officer, once reasonable remedies have been exhausted; above FCFA 1,000,000, the Board of Directors is informed in the following quarter.

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Title V — Purchases and expenses cycle

Article 15 — Committing expenditure

1. Every expense is **provided for in the budget**. An unbudgeted expense is authorised by the Chief Executive Officer; above 5% of own funds, it is submitted to the Board of Directors (Risk Management Policy, Article 13).
2. The requester obtains the agreement of the competent authorising officer under the Charter of Organisation and Delegation of Authority **before** placing the order.
3. From **FCFA 2,000,000 excluding tax**, at least two quotes are requested, unless a sole supplier is justified in writing.
4. A contract with a director, a senior manager, a shareholder or a company related to them follows the related-party agreement procedure of the Uniform Act on Commercial Companies and the Conflicts of Interest Management Policy.
5. Using a service provider for a function of the Company also follows Outsourcing Policy.

Article 16 — Checking the supplier invoice

On receipt, Accounting checks that the invoice matches an authorised order or contract, that **receipt of the service** has been certified by the requester, and that the amounts, taxes and legal particulars are correct. It records the invoice on receipt, even if payment is later. A non-compliant invoice is returned to the supplier, never corrected by hand.

Article 17 — Expense claims

- Expenses incurred for the Company are reimbursed on an expense claim with the original receipts, submitted within **thirty days**.
- It is approved by the line manager; that of the Chief Executive Officer by the Chairman of the Board of Directors.
- Reimbursement is made by transfer, with the payroll or separately; never in cash above the limit in Article 18.
- Gifts and hospitality also follow the Code of Conduct (Article 22).

Article 18 — Petty cash

The Company keeps cash to a strict minimum:

- **petty cash limit: FCFA 200,000**; **cash expense: FCFA 50,000 at most** per transaction;
- a single cash custodian, designated in writing by the Chief Executive Officer, who is not the person keeping the cash accounts where Accounting is in-house;
- each withdrawal has its signed voucher and supporting document; no loan or personal advance is made from petty cash;
- petty cash is replenished by transfer or cheque, on presentation of the supporting documents for the period;
- it is counted at each month end by the custodian and a second Staff Member, who sign the count report; the RCCI carries out a surprise count at least once every six months;
- client cash never passes through petty cash.

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Article 19 — Supplier master file

Creating a supplier and any change to its bank details are carried out by Accounting at the written request of the supplier. A change of bank details is **confirmed by telephone** on the number already known, by a person other than the one who received the request, before any payment; the confirmation is noted on file. A pressing request is treated as an attempted fraud until proven otherwise.

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Title VI — Treasury and payments

Article 20 — Bank accounts

Accounting keeps the list of accounts opened in the Company's name, with their purpose, the bank and the signatories. It distinguishes at least:

Account	Purpose	Rule
Company current account	Day-to-day receipts and payments	Payments in accordance with Article 21
Investment account or deposit	Surplus cash	Movements only to the Company's current account; dual validation always
Segregated settlement account	Client cash	Governed by the Procedure for the Segregation and Reconciliation of Client Assets; dual validation always
Own securities accounts, if any	Investments in government securities	Procedure for the Segregation and Reconciliation of Client Assets, Article 4; Risk Management Policy, Article 14

Opening or closing an account and any change of signatory are decided in accordance with the Charter of Organisation and Delegation of Authority; the RCCI and the statutory auditors are informed. Online banking credentials are personal and never shared.

Article 21 — Authorisation and execution of payments

1. Each payment is prepared by Accounting using the payment request in Appendix “Payment request”, together with the checked invoice or the document that justifies it.
2. It is **authorised** by the competent authorising officer, then **executed** by two separate signatories: an initiator and a validator in online banking, or two signatures on a cheque.
3. The **thresholds** above which a specific second signatory (in particular the Chairman of the Board of Directors) is required are those of the delegation matrix of the Charter of Organisation and Delegation of Authority.
4. Transfer is the normal means of payment; cheques are the exception; cash payment is limited by Article 18.
5. No payment is made on a mere copy, reminder or email; an invoice already paid is marked "paid" to avoid double payment.
6. Taxes, social security contributions and regulatory fees are paid when due, without waiting for a reminder.

Article 22 — Bank reconciliations

- **Each month**, for each Company account, Accounting reconciles the bank statement balance with the book balance, using Appendix “Bank reconciliation”, no later than the **tenth business day** of the following month.
- Every difference is explained; an unexplained difference or an item outstanding for more than one month is reported to the Chief Executive Officer.
- The reconciliation is **reviewed and signed** by the Chief Executive Officer, who checks by sampling that the month's payments correspond to authorised requests.

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- The segregated settlement account is reconciled in accordance with the Procedure for the Segregation and Reconciliation of Client Assets; Accounting checks that this reconciliation agrees with its accounts.

Article 23 — Cash forecasting and investment of own funds

- Accounting keeps a **twelve-month cash plan**, updated each month with expected receipts and payments, and presents it to the risk and compliance committee.
- Own cash is invested **prudently**, in accordance with the Risk Management Policy, Article 14: deposits with banks licensed in CEMAC and CEMAC government securities with a residual maturity of two years or less, without exceeding the bank concentration limit of that policy.
- Every investment is decided by the Chief Executive Officer and executed in accordance with Article 21; the Company never speculates on its own account.
- Client cash is never used for the Company's needs, not even for one day.

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Title VII — Fixed assets, payroll and taxation

Article 24 — Fixed assets

- A durable asset worth at least **FCFA 250,000 excluding tax** is capitalised; below that, it is expensed.
- Accounting keeps the **fixed asset register**: description, date, cost, depreciation period, location, user. Each asset bears a label.
- Depreciation is straight-line, over useful lives set by Accounting and signed off by the Chief Executive Officer, for example: IT equipment 4 years, office furniture 10 years, fit-out 10 years or the lease term, software 4 years, air conditioning units 5 years.
- A physical inventory is carried out each year at 31 December; a missing or unusable asset is removed from the register on the decision of the Chief Executive Officer.

Article 25 — Payroll

1. The Chief Executive Officer sends Accounting, no later than the **20th of the month**, the variable items: joiners, leavers, absences, hours, bonuses decided under the Remuneration Policy.
2. Accounting prepares the payslips and a control report explaining any change of more than 5% compared with the previous month.
3. The Chief Executive Officer checks and approves the payroll; their own remuneration is that set by the Board of Directors, and any change is signed off by the Chairman of the Board.
4. Salaries are paid by transfer before the end of the month, in accordance with Article 21. Each Staff Member receives their payslip.

Article 26 — Tax and social security obligations

Accounting prepares, and the Chief Executive Officer signs and has paid, the Company's returns:

Deadline	Return
Each month, no later than the 15th	Output and input VAT; corporate income tax instalment; taxes and deductions on salaries; CNPS contributions; withholding taxes due by the Company (rent, services from non-residents, other cases provided for by the General Tax Code)
Each year	Business licence tax (patente); Statistical and Tax Return (DSF) with the financial statements and the balance of corporate income tax; annual salary return
As provided by the texts	Fees and contributions due to COSUMAF, BVMAC and the Central Securities Depository

Details, dates and responsibilities are set out in the calendar in Appendix “Tax and social security calendar”, updated by Accounting each year after publication of the finance law and signed off by the Chief Executive Officer. Tax assessments, tax or social security audits and any reassessment are communicated without delay to the Chief Executive Officer and the RCCI.

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Title VIII — Closings

Article 27 — Monthly closing

Each month, Accounting closes the accounts for the past month using the checklist in Appendix "Monthly closing", no later than the **tenth business day** of the following month. It includes at least:

- recording of all invoices issued and received, payroll and returns;
- bank reconciliations (Article 22) and the petty cash count (Article 18);
- reconciliation of the liability to clients with the cash ledger, and a check that the full monthly reconciliation of client assets (Article 11) has been carried out with no unexplained difference;
- accrued expenses, accrued income and deferred income;
- depreciation for the month;
- clearing of suspense accounts;
- the own funds calculation and the dashboard in Appendix "Prudential dashboard" (Article 31).

The Chief Executive Officer signs off the checklist. The closing file is kept with the supporting documents.

Article 28 — Annual closing and financial statements

At 31 December, in addition to the monthly closing, Accounting:

- carries out the inventory of petty cash, fixed assets and investments;
- obtains confirmation of balances from banks and account keepers, at the request of the statutory auditors;
- assesses **provisions**: doubtful debts, litigation, paid leave, end-of-service benefits and retirement obligations required by the revised SYSCOHADA;
- calculates corporate income tax;
- prepares the financial statements and the DSF.

Step	Latest date	Who
Provisional accounts given to the Chief Executive Officer	28 February	Accounting
Filing of the DSF	15 March, or date set by the finance law	Accounting; signed by the Chief Executive Officer
Statutory auditors' audit	March and April	Statutory auditors
Approval of the accounts and management report for submission by the Board of Directors	30 April	Board of Directors
Approval by the ordinary general meeting	30 June	Shareholders
Filing with the registry and transmission to COSUMAF	In accordance with the Regulatory Reporting Procedure	Accounting; RCCI

If the financial statements approved by the Board differ from those in the DSF, an amended return is filed.

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Article 29 — Approval of the accounts

The Chief Executive Officer presents to the Board of Directors the financial statements, the management report, the proposed appropriation of profit, the own funds position and the related-party agreements. The Board approves the accounts for submission and convenes the ordinary general meeting, which approves them within six months of the year end. The documents are made available to the statutory auditors and shareholders within the time limits of the Uniform Act; the minutes are kept in the register of resolutions.

Article 30 — Statutory auditors

- The Chief Executive Officer is the statutory auditors' point of contact; Accounting provides them, without restriction, with the books, supporting documents and explanations requested.
- Their letter of representation is signed by the Chief Executive Officer after review by the Board.
- Their recommendations are entered in the recommendation tracking table of the Internal Control and Compliance Charter; the RCCI monitors their implementation.
- They are informed of significant differences on client assets and of any suspicion of fraud.
- Any engagement other than certification entrusted to the statutory auditors is authorised in advance by the Board of Directors.

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Title IX — Own funds and prudential monitoring

Article 31 — Monthly calculation of own funds

At each monthly closing, Accounting calculates own funds using Appendix “Prudential dashboard”:

Own funds = paid-up capital + reserves + retained earnings + profit or loss for the current year at the calculation date (including any provisional loss) − subscribed capital not called − intangible assets and formation expenses − receivables from shareholders, directors and senior managers.

This internal definition is deliberately prudent. It is replaced by the COSUMAF definition as soon as the instruction applicable to brokerage firms is confirmed. The RCCI checks the calculation before it is circulated.

The following are calculated at the same time, in accordance with the Risk Management Policy: available own cash in months of fixed costs, the share of cash held with the largest bank, firm underwriting or standby commitments as a percentage of own funds, and the share of revenue from the largest client.

Article 32 — Thresholds, alerts and transmission

Situation	Time limit	Action
Own funds above the alert threshold	Monthly	Dashboard sent to the Chief Executive Officer and the risk and compliance committee before the 15th of the month
Alert threshold crossed (FCFA 300,000,000 plus three months of fixed costs)	5 business days	Board of Directors informed, with a recovery plan (Risk Management Policy, Article 13)
Regulatory minimum crossed (FCFA 300,000,000)	Without delay	Board and COSUMAF informed; shareholders convened to restore own funds
Other indicator in amber or red zone	In accordance with the Risk Management Policy, Article 27	Escalation provided for by that policy

Prudential returns due to COSUMAF are prepared by Accounting and sent through the workflow of the Regulatory Reporting Procedure.

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Title X — Management, retention and fraud prevention

Article 33 — Budget

Each year, the Chief Executive Officer prepares, with Accounting and the directors, the budget for the following year: revenue by business line, expenses, investments, expected cash and own funds. They present it to the Board of Directors at its last meeting of the year. The approved budget is the reference for committing expenditure (Article 15) and for the calculation of fixed costs under the Risk Management Policy.

Article 34 — Reporting to the Board

Each quarter, the Chief Executive Officer presents to the Board of Directors a financial report prepared by Accounting:

- income statement for the quarter and year to date, compared with the budget, with an explanation of variances of more than 10%;
- cash and the twelve-month cash plan;
- own funds and the indicators in Appendix “Prudential dashboard”;
- overdue receivables and litigation;
- unbudgeted expenses and payments above the thresholds of the Charter of Organisation and Delegation of Authority;
- profit forecast for the year.

Article 35 — Retention

Accounting books, supporting documents, closing files, returns and reconciliations are retained for **ten years** from the end of the financial year, in electronic form, in accordance with the Archiving and Retention Procedure. At the end of a chartered accountant's engagement, the Company recovers all its data before paying the balance of the fees.

Article 36 — Fraud prevention

In addition to segregation of duties (Article 10), the Company applies the following rules:

1. **Dual validation** of every payment and telephone confirmation of any change of bank details (Articles 19 and 21).
2. **Caution about urgency**: an unusual or urgent payment request, even in the name of a senior manager, is verified with that person by voice before execution.
3. **Review of manual entries**: each month, the Chief Executive Officer goes through the list of manual entries on cash, revenue and client liability accounts.
4. **Supplier review**: each year, Accounting checks that each supplier paid exists and is not linked to an undeclared Staff Member.
5. **Leave**: the person who handles petty cash or payments takes at least one consecutive week of leave each year, during which another Staff Member replaces them.
6. **Whistleblowing**: any Staff Member who suspects fraud reports it through the whistleblowing system of the Code of Conduct (Article 47); they suffer no retaliation.

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Any fraud or attempted fraud is handled as an incident in accordance with the Risk Management Policy, Article 28.

Article 37 — Control

The RCCI checks at least: each month, the own funds calculation; each quarter, one month of reconciliations and a sample of payments; every six months, petty cash; each year, the tax and social security calendar and the fixed asset register. Their findings follow the Internal Control and Compliance Charter.

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Title XI — Entry into force

Article 38 — Entry into force

This manual enters into force on the date of its approval, as shown in the document control sheet. It is reviewed each year, and upon any change in the accounting organisation, service provider, bank, or tax or prudential regulations.

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APPENDIX "MONTHLY CLOSING" · ACCOUNTING AND FINANCIAL PROCEDURES MANUAL · CHECKLIST

Monthly closing checklist

Version 0.9
Internal

Completed by Accounting; signed off by the Chief Executive Officer

Frequency Each month, no later than the tenth business day of the following month; supplemented at 31 December by the annual closing

Kept by Accounting (closing file) · ten years

Tick each line, or write "n/a" (not applicable) with an explanation. Any line not done is carried over as a comment with a date for remediation.

MONTH CLOSED _____

PREPARED BY · DATE _____

SIGNED OFF BY THE CHIEF EXECUTIVE OFFICER · DATE _____

No.	Task	Reference	Done	Comment
Revenue				
1	Brokerage commissions for the month recorded from the Guichet and reconciled with transfers from the segregated account	Art. 13	☐	
2	Invoices to issuers and other firms issued for all triggering events in the month; numbering sequence checked	Art. 12 and 13	☐	
3	Aged receivables balance prepared; reminders sent	Art. 14	☐	
Expenses and payroll				
4	All supplier invoices received recorded	Art. 16	☐	
5	Expense claims for the month recorded	Art. 17	☐	
6	Payroll recorded; variance report signed off	Art. 25	☐	
7	Tax and social security returns for the month filed and paid before the 15th	Art. 26 · Appendix "Tax and social security calendar"	☐	
Treasury				
8	Reconciliation of each Company bank account (Appendix "Bank reconciliation")	Art. 22	☐	

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No.	Task	Reference	Done	Comment
9	Petty cash count; report signed by two people	Art. 18	☐	
10	Twelve-month cash plan updated	Art. 23	☐	
Client assets				
11	Full monthly client asset reconciliation received from the desk, with no unexplained difference	Procedure for the Segregation and Reconciliation of Client Assets, Art. 11	☐	
12	Liability to clients equal to the total of the cash ledger; no offsetting against Company accounts	Art. 7	☐	
Closing entries				
13	Accrued expenses, accrued income, deferred income	Art. 27	☐	
14	Depreciation for the month	Art. 24	☐	
15	Suspense accounts cleared or justified	Art. 27	☐	
16	List of manual entries given to the Chief Executive Officer	Art. 36	☐	
17	Trial balance reviewed; unusual balances explained	Art. 27	☐	
18	Period locked in the software	Art. 8	☐	
Prudential monitoring				
19	Own funds calculated; dashboard (Appendix “Prudential dashboard”) checked by the RCCI and sent before the 15th	Art. 31 and 32	☐	
In addition at 31 December				
20	Inventory of petty cash, fixed assets and investments	Art. 24 and 28	☐	
21	Confirmations from banks and account keepers	Art. 28	☐	
22	Provisions: doubtful debts, litigation, paid leave, end-of-service benefits	Art. 28	☐	
23	Corporate income tax calculated; DSF prepared	Art. 28	☐	

ITEMS TO REMEDIATE · OWNER · DEADLINE

COMMENTS OF THE CHIEF EXECUTIVE OFFICER

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APPENDIX "PAYMENT REQUEST" · ACCOUNTING AND FINANCIAL PROCEDURES MANUAL · FORM

Payment request

Version 0.9
Internal

Completed by Accounting; authorised by the authorising officer; executed by two signatories

Frequency For each payment, except petty cash expenses **Kept by** Accounting (with the supporting document) · ten years

One request per payment, attached to the checked invoice or the document that justifies it. The thresholds and signatories are those of the delegation matrix of the Organisation and Delegation of Authority Charter.

REQUEST NO.	DATE	PREPARED BY (ACCOUNTING)

Payee	
Purpose of the expense	
Attached document (invoice no., contract, return)	
Amount excl. tax · taxes · withholdings · net payable (FCFA)	
Budget line	
Account debited	
Due date	

Accounting checks: ☐ expense authorised before commitment ☐ receipt of service certified ☐ invoice compliant (amounts, taxes, particulars) ☐ bank details identical to the supplier master file ☐ not already paid

Special cases: ☐ unbudgeted expense ☐ new supplier or changed bank details (telephone confirmation made on ..... by .....) ☐ related party (related-party agreement) ☐ expense concerning the Chief Executive Officer

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Authorising officer · approved for payment · date	Signatory 1 (initiator) · date	Signatory 2 (validator) · date

EXECUTION

MEANS: TRANSFER · CHEQUE NO.	EXECUTION DATE	RECORDED ON · DOCUMENT MARKED "PAID"

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APPENDIX "BANK RECONCILIATION" · ACCOUNTING AND FINANCIAL PROCEDURES MANUAL · TEMPLATE

Bank reconciliation statement

Version 0.9
Internal

Completed by Accounting; reviewed by the Chief Executive Officer

Frequency Each month, for each Company bank account, no later than the tenth business day of the following month

Kept by Accounting (closing file) · ten years

The clients' segregated settlement account is reconciled in accordance with the Procedure for the Segregation and Reconciliation of Client Assets; this template is used for the Company's own accounts.

BANK · ACCOUNT NO. _____ LEDGER ACCOUNT _____ RECONCILIATION DATE _____

Item	Amount (FCFA)
A. Bank statement balance	
+ Deposits and transfers received recorded in the books, not yet credited by the bank	
− Cheques issued and transfers ordered, not yet debited by the bank	
B. Reconciled bank balance	
C. Book balance of the account	
+ Bank credits not yet recorded (to be recorded)	
− Bank debits not yet recorded: charges, interest, direct debits (to be recorded)	
D. Reconciled book balance	
Difference B − D (must be zero)	

Date	Outstanding item	Amount (FCFA)	Explanation · action · remediation date

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Item outstanding for more than one month or unexplained difference: ☐ no ☐ yes, reported to the Chief Executive Officer on .....

Prepared by (Accounting) · date

Reviewed by the Chief Executive Officer · date

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APPENDIX "TAX AND SOCIAL SECURITY CALENDAR" · ACCOUNTING AND FINANCIAL PROCEDURES MANUAL · CALENDAR

Tax, social security and accounting calendar

Version 0.9
Internal

Completed by Accounting; signed off by the Chief Executive Officer **Frequency** Updated each year after publication of the finance law

Kept by Accounting · presented to the risk and compliance committee

The dates are those known at the time of drafting; they are confirmed each year with the chartered accountant in the light of the General Tax Code and the finance law. Rates are not repeated here: Accounting applies those in force. The internal date is at least three business days before the deadline. Returns to COSUMAF, BVMAC and the Central Securities Depository follow the calendar of the Regulatory Reporting Procedure.

Obligation	Body	Deadline	Internal date	Prepared by	Checked and signed by	Evidence kept
Return and payment of VAT for the previous month	Directorate-General of Taxation	15th of each month	10th	Accounting	Chief Executive Officer	Return, receipt
Monthly corporate income tax instalment	Directorate-General of Taxation	15th of each month	10th	Accounting	Chief Executive Officer	Return, receipt
Taxes and deductions on salaries (personal income tax, additional council tax, Crédit Foncier, FNE, broadcasting fee, communal tax)	Directorate-General of Taxation	15th of each month	10th	Accounting	Chief Executive Officer	Monthly salary return, receipt
Social security contributions (pensions, family benefits, occupational risks)	CNPS	15th of each month	10th	Accounting	Chief Executive Officer	Return, receipt
Withholding taxes due by the Company (rent, services from non-residents, investment income paid)	Directorate-General of Taxation	15th of the month following payment	10th	Accounting	Chief Executive Officer	Return, receipt
Payroll for the month	Staff Members	Last business day of the month	25th	Accounting	Chief Executive Officer	Payslips, transfer order
Monthly closing and prudential dashboard	Executive Management, risk and compliance committee	10th business day; dashboard before the 15th	—	Accounting	Chief Executive Officer; RCCI for own funds	Appendices "Monthly closing" and "Prudential dashboard"

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Obligation	Body	Deadline	Internal date	Prepared by	Checked and signed by	Evidence kept
Quarterly financial report	Board of Directors	Meeting following the end of the quarter	15 days before the meeting	Accounting	Chief Executive Officer	Board pack
Business licence tax (patente)	Directorate-General of Taxation	Before end of February (to be confirmed)	15 February	Accounting	Chief Executive Officer	Receipt
Provisional accounts for the year	Chief Executive Officer	28 February	—	Accounting	Chief Executive Officer	Trial balance, draft statements
DSF, financial statements, balance of corporate income tax, annual salary return	Directorate-General of Taxation	15 March (to be confirmed)	10 March	Accounting	Chief Executive Officer	DSF, filing acknowledgement, receipt
Approval of the accounts for submission	Board of Directors	30 April	15 April	Accounting, statutory auditors	Board of Directors	Minutes
Approval of the accounts	Ordinary general meeting	30 June	31 May	Chief Executive Officer	Shareholders	Minutes
Filing of the approved financial statements	Registry	In accordance with the Regulatory Reporting Procedure	Upon the meeting	Accounting	Chief Executive Officer	Filing receipt
Budget for the following year	Board of Directors	Last meeting of the year	15 November	Chief Executive Officer, Accounting	Board of Directors	Minutes
Update of this calendar	—	January, after the finance law	—	Accounting	Chief Executive Officer	Signed-off calendar

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APPENDIX "PRUDENTIAL DASHBOARD" · ACCOUNTING AND FINANCIAL PROCEDURES MANUAL · DASHBOARD

Monthly prudential dashboard

Version 0.9
Internal

Completed by Accounting; checked by the RCCI **Frequency** Each month, before the 15th of the following month

Kept by RCCI · presented to the risk and compliance committee and, each quarter, to the Board of Directors

The thresholds and limits are those of the Risk Management Policy (Appendix "Risk appetite and limits"). Zones: G green (normal), A amber (alert threshold crossed), R red (limit exceeded). Any amber or red zone triggers the escalation in the Risk Management Policy, Article 27.

MONTH _____ PREPARED BY (ACCOUNTING) · DATE _____ CHECKED BY THE RCCI · DATE _____

1. Own funds calculation	Month (FCFA)	Previous month (FCFA)
Paid-up capital		
+ Reserves		
+ / − Retained earnings		
+ / − Profit or loss for the current year at month end		
− Subscribed capital not called		
− Intangible assets and formation expenses		
− Receivables from shareholders, directors and senior managers		
= Own funds		
Regulatory minimum	300,000,000	300,000,000
Alert threshold (minimum + 3 months of fixed costs)		
Margin above the alert threshold		

2. Indicator	Value	Alert threshold	Limit	Zone
Own funds (FCFA)		300 M + 3 months of fixed costs	300,000,000	
Available own cash, in months of fixed costs (excluding client cash)		9 months	6 months	
Share of own cash held with the largest bank		50%	60%	

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2. Indicator	Value	Alert threshold	Limit	Zone
Firm underwriting or standby commitments, as % of own funds		15%	25% without Board approval	
Share of revenue from the largest client over a rolling 12 months		30%	50%	
Client asset reconciliation differences unexplained after 2 business days		—	0	
Unbudgeted expenses for the month (FCFA); of which above 5% of own funds		—	Board approval	

3. Results and cash	Month	Year to date	Budget to date
Revenue			
Expenses			
Profit or loss			
Own cash at end of period			
Receivables more than 60 days overdue			—

COMMENTS OF THE CHIEF EXECUTIVE OFFICER · MEASURES DECIDED

BOARD OR COSUMAF INFORMED: ☐ NOT APPLICABLE ☐ DONE ON

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